

Shareware 2.0

NETFLIX WAS IN THE NEWS RECENTLY FOR ANNOUNCING THAT THEY WERE LOOKING AT WAYS TO MAKE MONEY FROM THE MILLIONS OF USERS WHO SHARE ACCOUNTS.

It's not like Netflix really had a problem with people sharing their accounts. After all, that's one of the reasons or as we call it "salient features" that make it feasible for a bunch of people to pool money and get a subscription. This is especially true for a country such as India where existing services have a stronghold on the market thanks to their massive portfolio of vernacular and sports content. While Netflix's library may be huge, we only get to see a small portion of it thanks to geofencing licence agreements and most consumers end up getting subscriptions from two or three different services to get access to a larger library of content.

This whole sharing experiment by Netflix is a nice way to see how the industry and the consumers would react to the concept of sharing accounts while paying for a fraction of the cost. Because, this would open up a whole new payment mechanism in the software and services market. Even though the amount per person seems to be miniscule, for the company, it's a massive bump in revenue for very little additional expense. I know economics majors are going to go nuts when I say this but it's literally free money. Companies can argue that these "sharing users" would have otherwise paid the full amount but we all know the truth – very few would have bothered. A huge chunk would have indulged in piracy and a small fraction might have resorted to open-source or free alternatives.

If successful, we could end up seeing per-day or per-week leasing services being offered by large enterprises. For example, you could end up getting Autodesk's software which you'll only use for one single project, for just a week. Autodesk gets a fraction of the subscription fees and you get to experience all the current-gen features that a top-notch software has to offer. And who knows, if you develop a liking to it, then you might as well end up getting a long-term subscription plan. It's a win-win for the software maker as well as for you.

It could be argued that this plan will not work for cases where the economies of scale don't pan out. For example, companies that make software that's used to make VLSI chips aren't going to have a large enough subscriber base. Which, in turn, means that they don't have a lot to gain by implementing such a payment model. However, such highly-specialised software would form the outlier in this case.

Major software vendors anyway have specialised discounts for student and academic institutions so that they may start experiencing such software during their college years and be more "industry-ready" by the time they graduate. So it's not exactly an alien concept for software companies or something that requires careful consideration. A fractional subscription model is just an extension of the same programme and would cater to a wider audience. Even now, in developing countries, not every academic institution or their students have access to such software because of the requirements laid down for such programmes. Usually, the colleges need to issue email IDs to their students with a .edu domain or they need to have an ID card in a certain prescribed format. At the end of the day, the hurdles are such that very few can actually get access to these programmes. A fractional subscription would go a long way in lowering the barrier to access.

Maybe all of this is just wishful thinking. At the end of the day, most of the software companies would run these numbers on a simple excel sheet and look at the short-term or mid-term gains. Also, there's a good chance that they've already run these numbers and found this plan to be not feasible. Or else, we'd already have seen fractional subscription plans ages ago.

Let me know if you'd be open to fractional subscription models for not only OTT services but also for professional grade software. If not, why so? 



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